

Procure Space ETF

SPCX NASDAQ

Hold	\$115.01 ▼ 8.23%	12M Price Target \$135.00	52-Week Range \$104.83 – \$225.64	Market Cap \$1.52T
------	------------------	------------------------------	--------------------------------------	-----------------------

SPCX: Space ETF Craters as SpaceX Earnings Disappoint

WHAT HAPPENED

- SPCX got smoked -8.2% today, and it's not mysterious — SpaceX (the ETF's whale holding) just posted its first earnings as a public company and Wall Street wasn't impressed. The concern is AI/Starlink capex — meaning SpaceX is spending huge sums to build out satellite internet and AI infrastructure, but investors want to see the payoff sooner.
- Notice the whipsaw: +9.4% Monday on earnings anticipation, then -8.2% Tuesday when the numbers landed. That "buy the rumor, sell the news" pattern tells you the stock was priced for perfection and didn't get it.

WHY IT MATTERS

Here's the thing — SPCX is trading at just 8% of its 52-week range (\$104-\$225), meaning it's near the lows. That's either a screaming buy signal or a warning that the space trade is unwinding. The options market is leaning bullish (put/call ratio 0.76, with unusual call buying at \$110-\$115 strikes) — smart money is betting this is a dip, not a collapse. But institutional ownership at just 2.2% is a yellow flag: the big pension funds and mutual funds aren't backing this up yet, which means the stock trades more on retail sentiment and can swing hard both ways.

POLICY & POLITICAL WATCH

The big political tailwind here is the Trump administration's Golden Dome missile defense initiative and the expanded Space Force budget — both directly benefit SPCX holdings like Rocket Lab, Iridium, and defense-space contractors. Watch the FY2027 defense appropriations bill working through Congress right now: if the space allocation stays north of \$30B, SPCX has a floor. The wildcard is FCC spectrum policy — any ruling that favors terrestrial 5G over satellite broadband (Starlink, Iridium) would hurt this ETF disproportionately since satellite comms is ~40% of the basket.

IS IT EXPENSIVE?

SPCX isn't valued like a normal stock — it's an ETF, so you're paying for the underlying basket. Right now the basket is heavily weighted to SpaceX post-IPO, and SpaceX is trading at roughly 15x sales — meaning investors pay \$15 for every \$1 of revenue, which is rich but defensible if Starlink hits profitability. The ETF looks reasonable here versus its highs, but "cheap" depends entirely on whether SpaceX delivers next quarter — you're really making a bet on one company.

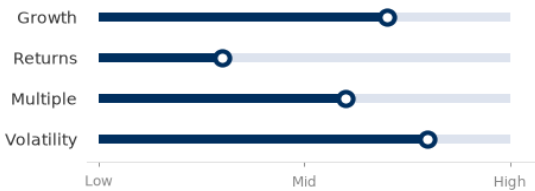
WHAT COULD GO WRONG

- SpaceX concentration risk — if SpaceX has another rough quarter, this ETF drops 10%+ again regardless of what other holdings do. It's not really diversified anymore.

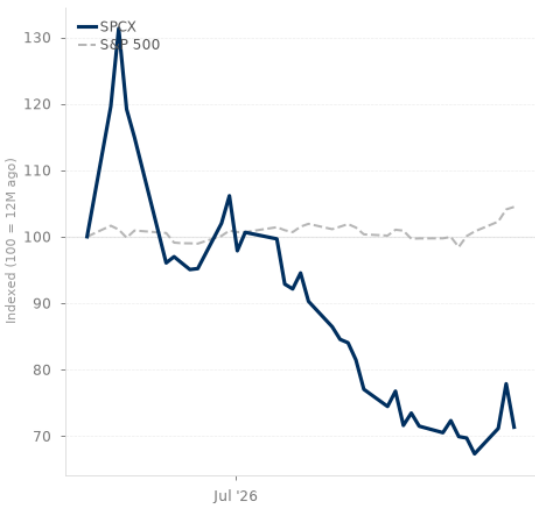
Key Data

Price (USD)	\$115.01
12M Price Target	\$135.00
Upside / (Downside)	+17.4%
Market Cap	\$1.52T
FY2026E Revenue	—
FY2027E Revenue	—
FY2026E EPS	N/M
FY2027E EPS	N/M
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$128.00	\$118.00	\$105.00
6 Months	\$155.00	\$130.00	\$100.00
1 Year	\$180.00	\$135.00	\$95.00
2 Years	\$220.00	\$160.00	\$90.00
5 Years	\$300.00	\$200.00	\$80.00
10 Years	\$500.00	\$300.00	\$70.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Materials (+1.56%) and Industrials (+6% over 5 days) — both benefiting from infrastructure spending and the Hormuz deal chatter reducing supply chain fear. Consumer Discretionary (+7% 5D) shows risk-on appetite is alive.

COOLING OFF: Space/defense sub-sector today, but that's SpaceX-specific noise, not a broad sector rejection. Healthcare had a rough 5-day stretch (-1.31%) despite today's bounce.

ROTATION WATCH: Money is moving into cyclicals and industrials on trade optimism (Trump/Hormuz), which historically pulls capital OUT of speculative growth names like space. That's a near-term headwind for SPCX.

RELATED PLAY: If space is your thesis but you want less SpaceX concentration, look at Rocket Lab (RKLB) directly, or defense primes like Lockheed (LMT) and Northrop (NOC) which have big space divisions and pay dividends.

WHO'S WINNING IN THIS SPACE?

- LMT (Lockheed Martin): Winning because defense budget certainty + space systems division growth — less binary than SPCX.
- RKLB (Rocket Lab): The pure-play alternative that benefits when SpaceX stumbles, since customers seek launch diversification.

SPCX CONTEXT: SPCX is LAGGING its underlying components because SpaceX is dragging the whole basket down. That's actually a setup — if you believe SpaceX bounces, SPCX gives you leveraged exposure to that rebound without single-stock risk.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — cautiously constructive; the long-term space thesis is intact but near-term is messy while SpaceX finds its footing as a public company.

POSITION SIZE: 2-4% — this is volatile and concentrated, so don't oversize. Treat it like a thematic bet, not a core holding.

ENTRY POINTS: I'd start scaling in around \$108-112 (near the 52-week low) and add more if it touches \$105. Don't chase above \$125.

TIME HORIZON: 12-24 months — you need at least 2-3 more SpaceX earnings prints to see if Starlink profitability is real.

WHEN TO BAIL: If SpaceX misses on Starlink subscribers next quarter, or if the defense space budget gets cut by more than 15% in reconciliation, take the loss and move on.

HEDGING: Buy a little QQQ (broad tech) alongside it — if the whole growth trade rolls over, you're not just holding one narrow bet. Or just keep some cash on the side to average down.